Singapore’s exchange rate policy: managing inflation amid global energy shock

Singapore’s central bank tightened its monetary policy settings, flagging that the surging energy prices caused by the Iran war could drive up inflation. One thing to note: Singapore’s primary monetary policy tool isn’t like most countries. Conventionally, most central banks control inflation through manipulating domestic interest rates. However, as Singapore is a highly open economy in which imports account for a significant proportion of domestic consumption, managing exchange rates is a more effective means of controlling imported inflation.

One of Singapore's main macroeconomic objectives is to maintain price stability over the medium term, supporting sustainable economic growth. Due to the war, oil prices have surged, resulting in cost-push inflation for Singaporean consumers. In April and July 2026, Singapore's central bank increased the rate of appreciation of its exchange-rate policy band. A stronger Singapore dollar can reduce the local-currency cost of imported energy, helping to moderate inflationary pressures.

This effect can be explained using the aggregate demand–aggregate supply (AD–AS) model. Lower imported energy costs can reduce production costs for domestic firms, shifting short-run aggregate supply (SRAS) to the right. Assuming aggregate demand remains unchanged, this results in a lower equilibrium price level and higher real output than would otherwise have occurred.

Despite these measures, the Monetary Authority of Singapore (MAS) warned that “There are considerable risks around the outlook for inflation and growth” and that “A more persistent disruption to energy supplies will exacerbate inflationary pressures worldwide, as well as

deepen the drag on growth.” These warnings highlight the limits of exchange-rate policy in protecting Singapore's economy from prolonged external supply shocks.

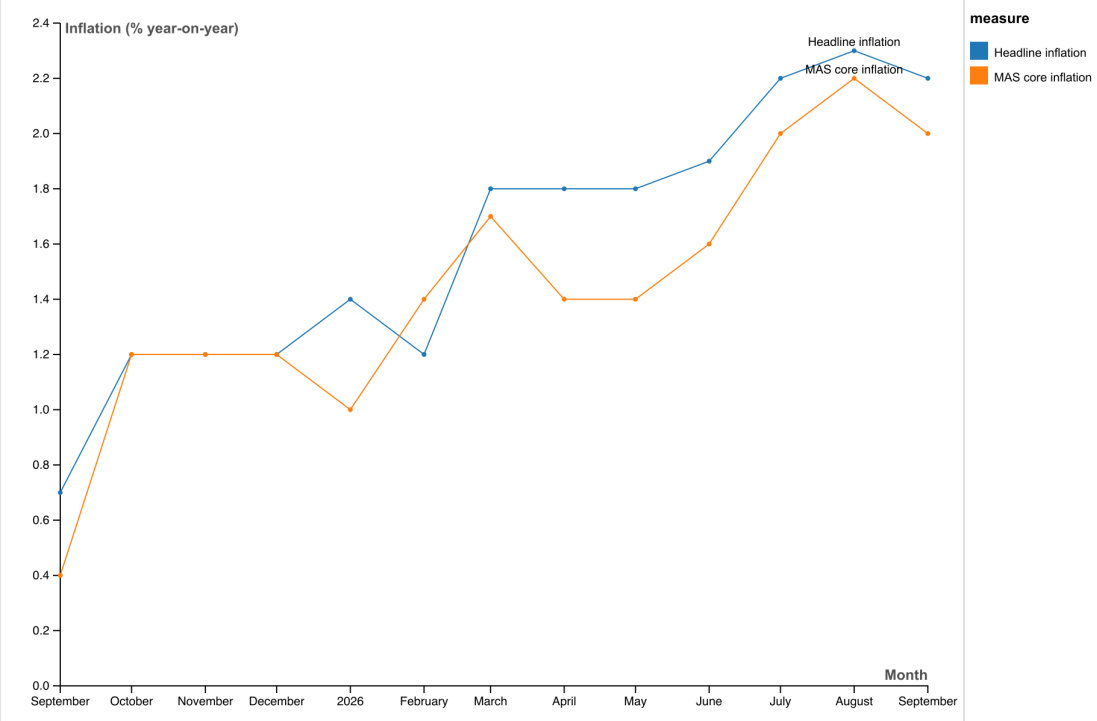


Figure 1. Singapore headline and MAS core inflation, September 2025–September 2026. Monthly year-on-year percentage change.

The chart illustrates inflation trends during a period of monetary policy adjustments and global energy-price pressures. Although Singapore's exchange-rate policy seeks to moderate imported inflation, these observations alone cannot establish what inflation would have been without those interventions. Visualisation by James Newman using RAWGraphs. Download dataset (CSV).

3.1. Sources

Monetary Authority of Singapore and Ministry of Trade and Industry. Consumer Price Developments in September 2026.

Monetary Authority of Singapore. Past Monetary Policy Decisions.